contains three important downturns: late 1980s, late 1990s and from 2008 onward. At the root of the crises is an upsurge of fear in the minds of the key decision makers of 2000 financial firms.

Understanding and defusing crises require a view of the entire financial system. The administrative boundaries of existing financial agencies generally limit their information and world view. Systemic risk regulation requires system-wide data and the FSDC technical secretariat that will use this data for policy formulation.

There are positive feedback loops in every crisis. When things get bad, they get worse. These need to be understood and defused. Recessions uncover what auditors do not: In each crisis, some skeletons come out of the closet, and exacerbate the fear. A greater awareness of these dubious firms in peacetime will help reduce the damage caused by their unveiling in a crisis.

When there is an evaluation of the use of fiscal resources to help resolve a crisis, the usual test should apply. The marginal cost of public funds is about three times the apparent cost, so public money should be used when the value for money safely becomes more than threefold. The way in which public money is used should be designed to contain moral hazard.

Investigations and witch-hunts will generally exacerbate the fear, particularly given low state capacity at the agencies in India.

Financial agencies (central bank, regulator, resolution corporation, debt management agency) normally work on well-defined process manuals. Crisis management has to go off the manual. At the same time, mere day-to-day tactical actions do not suffice. An intellectual framework, an understanding of the crisis, and a strategy of response are required. This is efficient in and of itself, and is also essential in earning the respect of the private sector. If government actions are all tactics and no strategy, the government will drive up the uncertainty.

When institutional quality is weak, this task—of understanding the crisis and developing a strategy to respond to it—requires individuals who have been carved by experience and institutions for this moment. These capabilities are required all across the policy institutions, and there is a need